



SHELL PLC

FIRST QUARTER 2026 RESULTS

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Welcome to Shell's first quarter 2026 results presentation.

I'm pleased that, amid heightened volatility this quarter, we delivered strong results through our relentless focus on operational performance and the strength of our integrated global portfolio. Yet again, our staff rose to the challenge and were able to deliver this safely and effectively, navigating another quarter of uncertainty.

Let me first take you through our Q1 results before I come back to the impact of the Middle East conflict in more detail.

We delivered a strong set of results with Adjusted Earnings for the quarter of just under \$7 billion. And we generated over \$17 billion of cash flow from operations, excluding working capital. Our working capital outflow for the quarter was some \$11 billion, reflecting the impact of higher commodity prices on inventory and receivables. We would expect a significant amount of this outflow to reverse over time.

Now turning to our businesses in more detail.

In Upstream, we delivered strong operational performance across the board. For example, in Brazil, we achieved record production levels. In Nigeria, at Bonga, we completed a turnaround 10 days ahead of plan. And in the United States, our Mars platform became the first asset in the Gulf of America to reach one billion barrels of oil production.

In Integrated Gas, the continued ramp-up of LNG Canada helped to offset the impact of cyclones in Australia and the shutdown of production in Qatar. LNG trading and optimisation results were broadly in line with the previous quarter, reflecting price lags in our term contracts.

Chemical margins remained depressed, but the team remains focused on making the business free cash flow positive and we are seeing some encouraging signs. In Products, the results were driven by impressive refining performance – with utilisation of 99% – and by significantly higher trading and optimisation contributions.

Marketing also had another great quarter, despite the pressure of higher feedstock prices in March. Lubricants sales were seasonally higher, whilst overall segment results were



also helped by our ability to optimise product flows across the different marketing businesses.

Overall, this was a strong set of results in a period of volatility and uncertainty stemming from the conflict in the Middle East. While the Middle East is home to around one-fifth of Shell's hydrocarbon production, impacts have varied by country. Our heartland position in Oman accounts for around 10% of our global volumes – volumes that don't pass through the Strait of Hormuz.

The most significant effects for Shell have been in Qatar. At Pearl GTL, Train Two was damaged, but thankfully nobody was hurt. We currently estimate it will take around a year to return this train back into service. The repair costs are expected to be well below half a billion dollars, on current estimates. And Pearl GTL Train One as well as the LNG train in which we hold an interest through the QatarEnergies LNG N4 JV are start-up ready, subject to our ability to move products through the Strait of Hormuz.

Whilst much of the organisation has been focused on delivering despite the impact of the Middle East conflict, we have also been able to make important progress on our portfolio, in line with our strategy. In Lubricants, we announced the divestment of our Jiffy Lubes network for \$1.3 billion, monetising an asset that was not core to our business. In Upstream and Integrated Gas, we added new acreage in the United States, Kazakhstan and Venezuela as we continue to focus on resource longevity. And last week, we announced the strategically important acquisition of ARC Resources. ARC is a high-quality, low-cost operator in Canada's Montney basin, complementing our existing positions at Groundbirch and Gold Creek. With this combination, we are adding highly contiguous acreage, as well as long-duration, top-quartile low-carbon-intensity production. ARC provides us with new growth opportunities, a liquids-rich portfolio, and LNG upside. This deal accelerates our strategy – sustaining material liquids production, growing our Integrated Gas business, extending reserve life and increasing our expected compound annual production growth rate to 2030 from around 1% to 4%, compared to 2025. And importantly, this transaction meets our high bar for M&A – with long-term value creation through double-digit returns and an increase in our long-term free cash flow, all whilst preserving our balance sheet strength given the 75% share, 25% cash ratio of the deal.

With the ARC acquisition, cash capex for the full year 2026 is expected to be between 24 and 26 billion dollars, including some \$4 billion for the ARC acquisition. For 2027 and 2028, cash capex remains at 20 to 22 billion dollars, as we will absorb ARC's ongoing cash capex into our existing guidance.



Moving to the rest of our financial framework. At the end of Q1, our net debt position was \$52.6 billion, reflecting the working capital outflows I mentioned earlier, as well as the impact of some non-cash variable shipping lease components. Excluding leases, our net debt was some \$22 billion. Our balance sheet is strong, with the flexibility we need to operate in today's volatile environment.

Turning to our shareholder distributions. Today we are rebalancing our shareholder distributions by announcing a \$3 billion share buyback programme for the next 3 months as well as a 5% increase of our dividend. This is inline with our existing 40 to 50% of CFFO through the cycle distribution policy, which remains sacrosanct, and shows our dynamic approach to capital allocation.

So, to conclude: Q1 showed Shell's resilience and ability to deliver strong results in a volatile macro environment. These results reflect the strength of our integrated business model and reinforce the importance of our ongoing efforts to simplify the organisation, high-grade our portfolio and build a stronger Shell for the long term.

Our Annual General Meeting 2026 will be on May 19th, and we ask our shareholders to vote against the alternative resolution. By doing so, our shareholders will be endorsing this management team, and our Board. And I hope you've had a chance to see our LNG Strategic Spotlight, which sets out both the growth we see in global LNG demand and how we plan to meet it. As always, our AGM provides an opportunity for our shareholders to engage directly on our progress in delivering more value with less emissions.

Thank you.

Shell plc

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Shell’s operating plan and outlook are forecasted for a three-year period and ten-year period, respectively, and are updated every year. They reflect the current economic environment and what we can reasonably expect to see over the next three and ten years. Accordingly, the outlook reflects our combined Scope 1 and 2 target, NCI target and our oil products ambition over the next ten years. However, Shell’s operating plan and outlook cannot reflect our 2050 net-zero emissions target, as this target is outside our planning period. Such future operating plans and outlooks could include changes to our portfolio, efficiency improvements and the use of carbon capture and storage and carbon credits. In the future, as society moves towards net-zero emissions, we expect Shell’s operating plans and outlooks to reflect this movement. However, if society is not net zero in 2050, as of today, there would be significant risk that Shell may not meet this target.

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